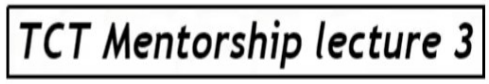
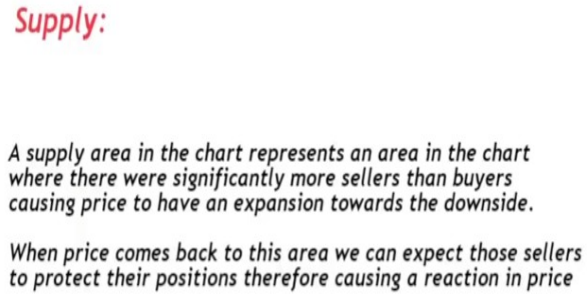
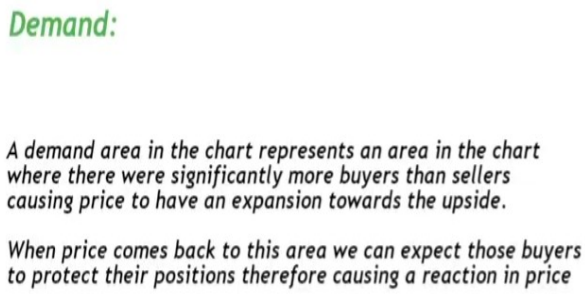
(1666) TCT mentorship - Lecture 3 | Supply & Demand - YouTube
https://www.youtube.com/watch?v=Qxuyp3PfuXU

Transcript:
(00:02) what is up guys and welcome to lecture three of the TCT mentorship where I'm going to be teaching you everything you need to know about supply and demand okay a lot of people have been asking me about how I pull my Supply zones how I pull my demand zones well here it is okay so what is supply a supply area in the chart represents an area in the chart where there were significantly more sellers than buyers causing price to have an expansion towards the downside and when price comes back to this area we can expect those same sellers to protect

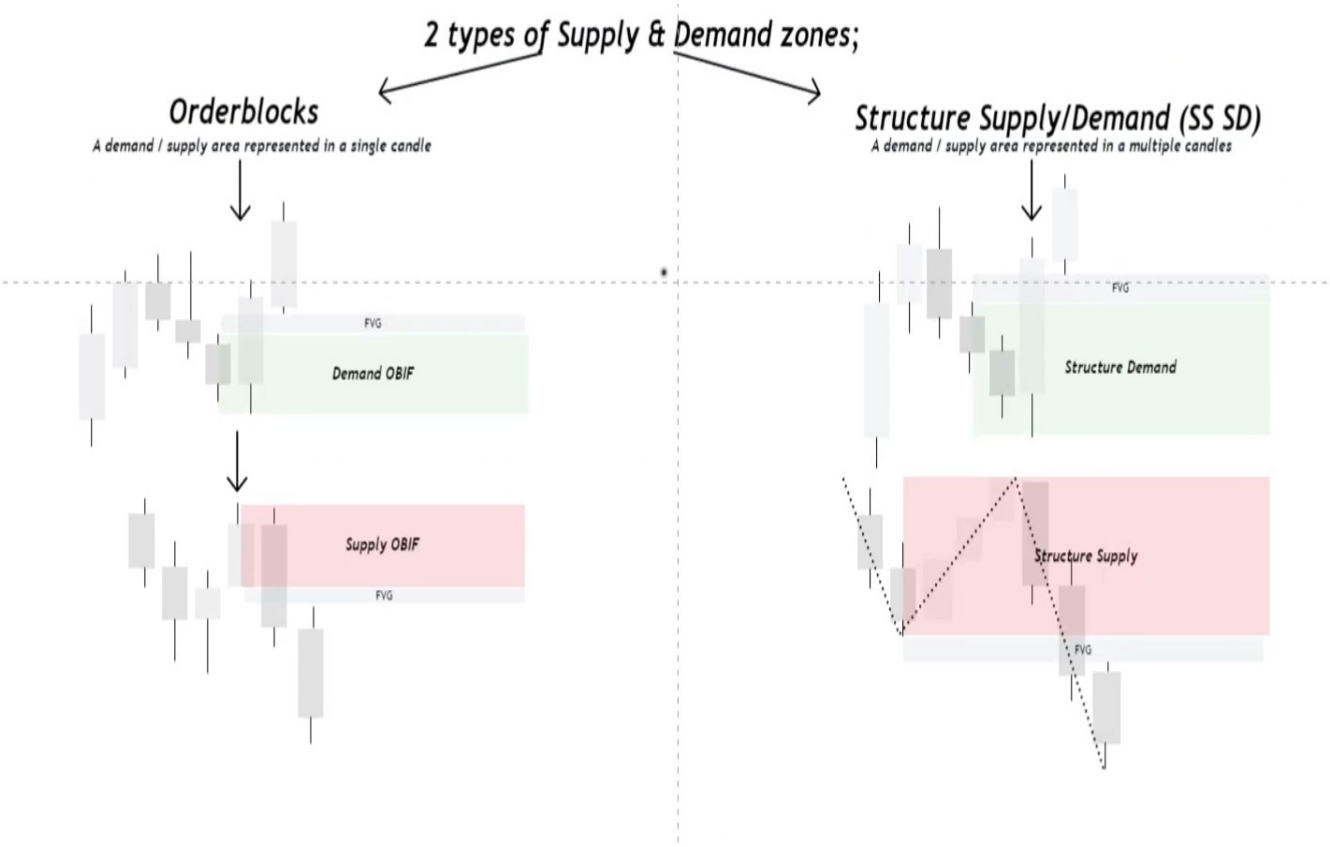






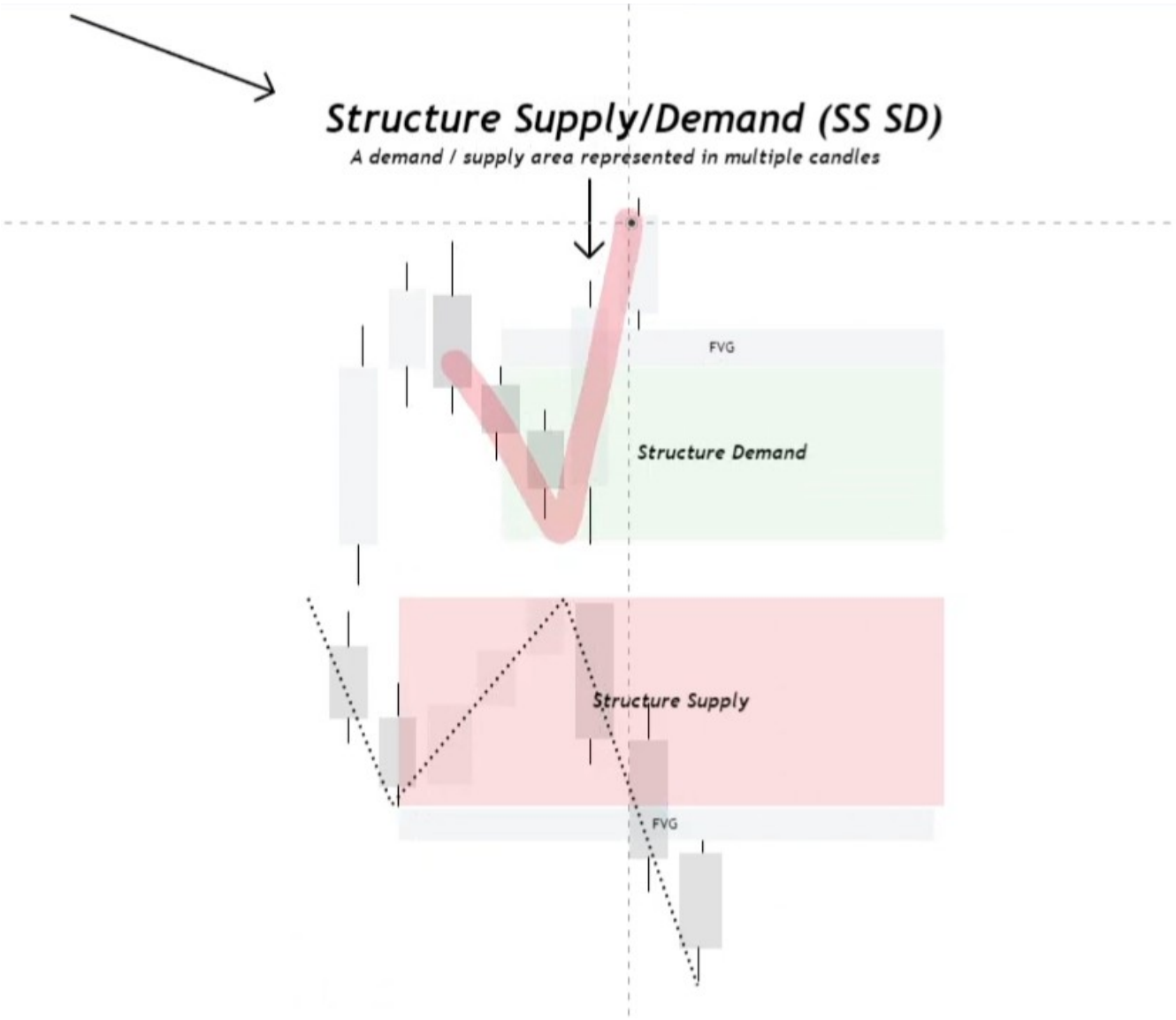
(00:44) their positions and therefore causing a reaction in price okay so sellers stepped in at a certain price point push price lower significantly and the only people that can move the markets are market makers therefore if we come back to that area they'll most likely protect their positions by pushing price lower again when we come into it therefore causing a reaction and for demand it works the exact same way a demand area in the chart represents an area in the chart where there's significantly more buyers than sellers causing price to
(01:19) have an expansion towards the up side and when price comes back to this area we can expect those buyers to protect their positions therefore causing a reaction in price cuz guys the only people that can move the markets are the market makers okay that's why smart money Concepts also always made sense to me because price is only moving in your desired direction if the market maker decides to move price there so if we can allocate and we can see where they did what they did we can trade with them therefore supply and demand is also
(01:57) crucial okay it gives us those pois point of Interest where we can potentially get a trade okay so we have two different types of supply and demand zones okay we have two different types of supply and demand zones what do we have let's put this on onlog I don't know why it puts it on log every single time there we go okay so we have order blocks and we have structure supply and demand let's focus on order blocks first an order block is a demand or a supply area represented in a single candle

when we have a bullish order



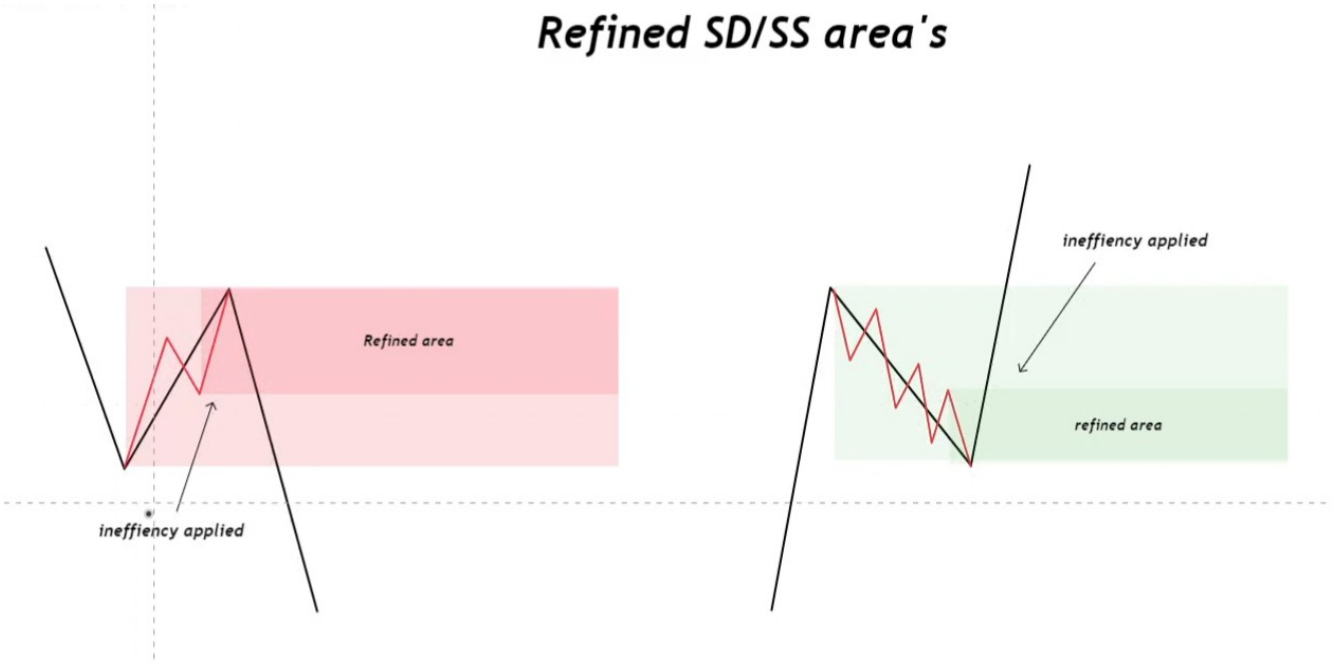
(02:44) block representing demand it's going to be the last downwards candle before the expansion away and when we have a supply or a bearish order block is going to be the last bullish candle before having the expansion away okay so in order to have a valid order block okay in order to have a valid order block you need a bearish candle followed by a bullish candle away that left a fair value Gap what is a fair value Gap it's basically when your Wick high of the bearish candle and the Wick low of the third candle do not touch and you just purely
(03:35) have a body candle between these candle one and candle three leaving an inefficiency a fair value Gap okay that that's basically what the f value Gap is it's when your first candle's high and your third candle's low are not connecting you can see that represented in the gray area with fair value Gap that's why I call it a ob order block with an inefficiency that's where it stands for okay so a bullish order block is simply the last bearish candle before having an expansion away that left a fair value Gap you need the fair value Gap if
(04:21) there's no fair value Gap it's no valid order block and it's the exact same way the other way around so when we're trending down or a bearish order block because can also be created when we're trending up but a bearish order block is simply the last bullish candle before having a bearish expansion towards the downside where here as well we need a fair value Gap so it's a three candle formation the last bullish candle and then two downwards candles having that fair value Gap and then the order block itself is
(04:57) just the the last candle highs and lows including the Wicks okay including the Wicks so also right here what you see you see that last bearish candle and then you see the bullish candle but the wick

of the bullish candle goes lower we always grab the wick low and we always grab the wick High doesn't matter if it's Candle One or candle two that has the wick high or low but it's very very very simple an order block is just the demand or Supply era represented in a single candle so for a bullish order block the last bearish candle with an
(05:33) expansion away the left a fair value Gap and for a bearish order Block it's the last bullish candle before the expansion towards the downside leaving a fair value Gap but you need that fair value Gap and why it works so good including that fair value Gap is because the market likes to fail inefficiencies and once it has done that it often times has a reaction okay it reacts away after filling the inefficiency so if you combine a generalized Supply area where seller stepped in with the Confluence of that fair value Gap it's like it filled
(06:04) the inefficiency and it mitigated Supply in one and they tend to work extremely well I only draw my order blocks using this rule you can go back in older videos and we're going to go into the charts later on but I only draw my order blocks using the F value Gap that's why I call it obif okay or the Block in efficiency now we also have structure Supply in the m SS and SD and that's also very simple it's a demand or a supply area represented in multiple candles I hate that they wrote a in multiple candles okay it's it's that simple so what you
(06:49) can see right here is that price is trending up okay we have a high we have a low we have a higher high right here we can see that these last two downwards candles okay are grabbed from high all the way towards that expansion candle low and then dragged forward also including the fair value Gap also for structure supply and demand we use the fair value Gap rule okay I'm always using that rule when I'm drawing structure but you can just see I'm using two downwards candles I could be using the order block but if the
(07:28) inefficiency is also from this candle this entire area is range demand because this entire area is where the sell to buy happened causing the expansion towards the upside meaning they stepped in in this area on the chart now the reason why it's called structure Supply or structure demand is because often times we just follow our structure so if our structure is making lower highs and lower lows following the six candle Rule and we have we can use the entire move up okay we can use the entire move up before having the expansion towards

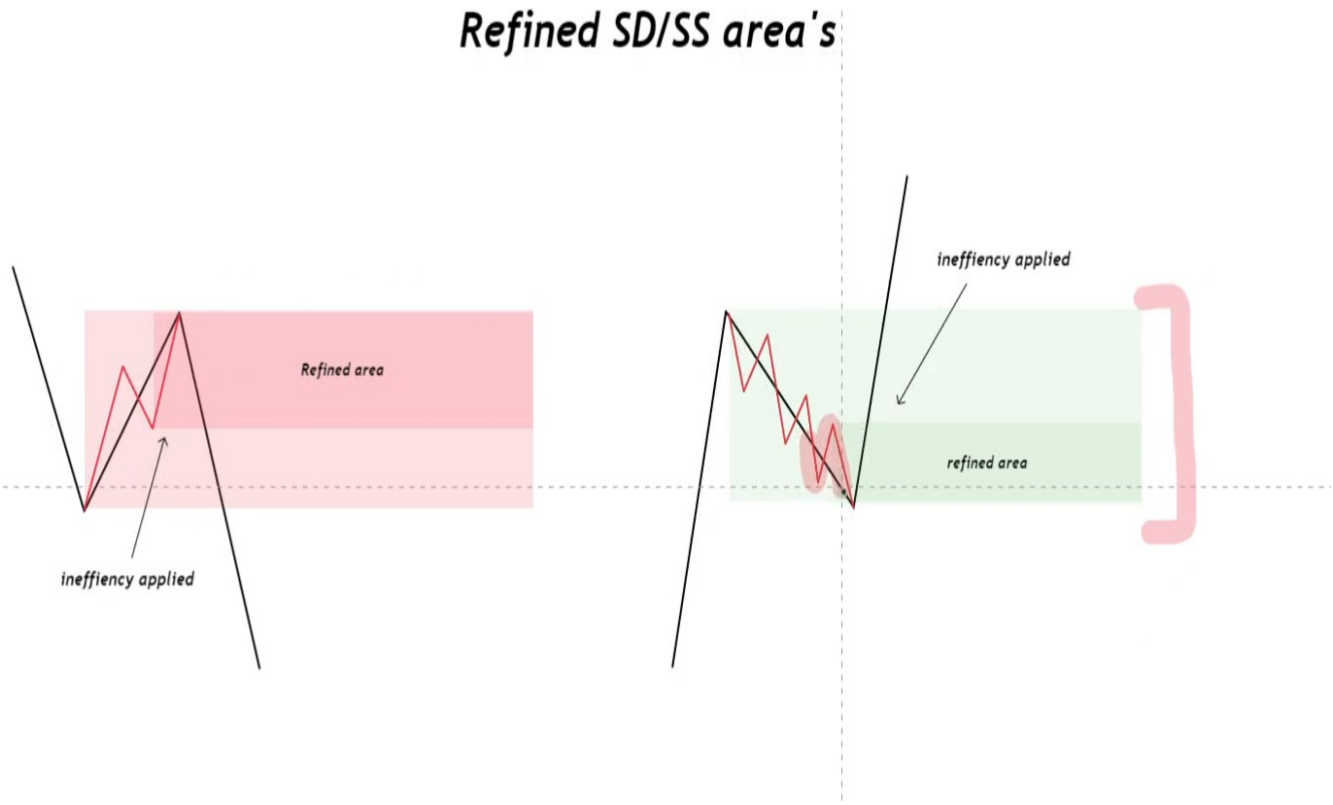


(08:03) the downside as our structure Supply as long as it has left a fair value Gap that fair value Gap is always included that inefficiency is always included so always needs to have that low not connecting with that candle from the expansion away okay you need that Gap you need that candle body just a candle body okay and that's why it's called structure Supply because we can just use it drawing our structure right where if we come back into this area we can expect a lower high for a lower low and with this drawing I'm already

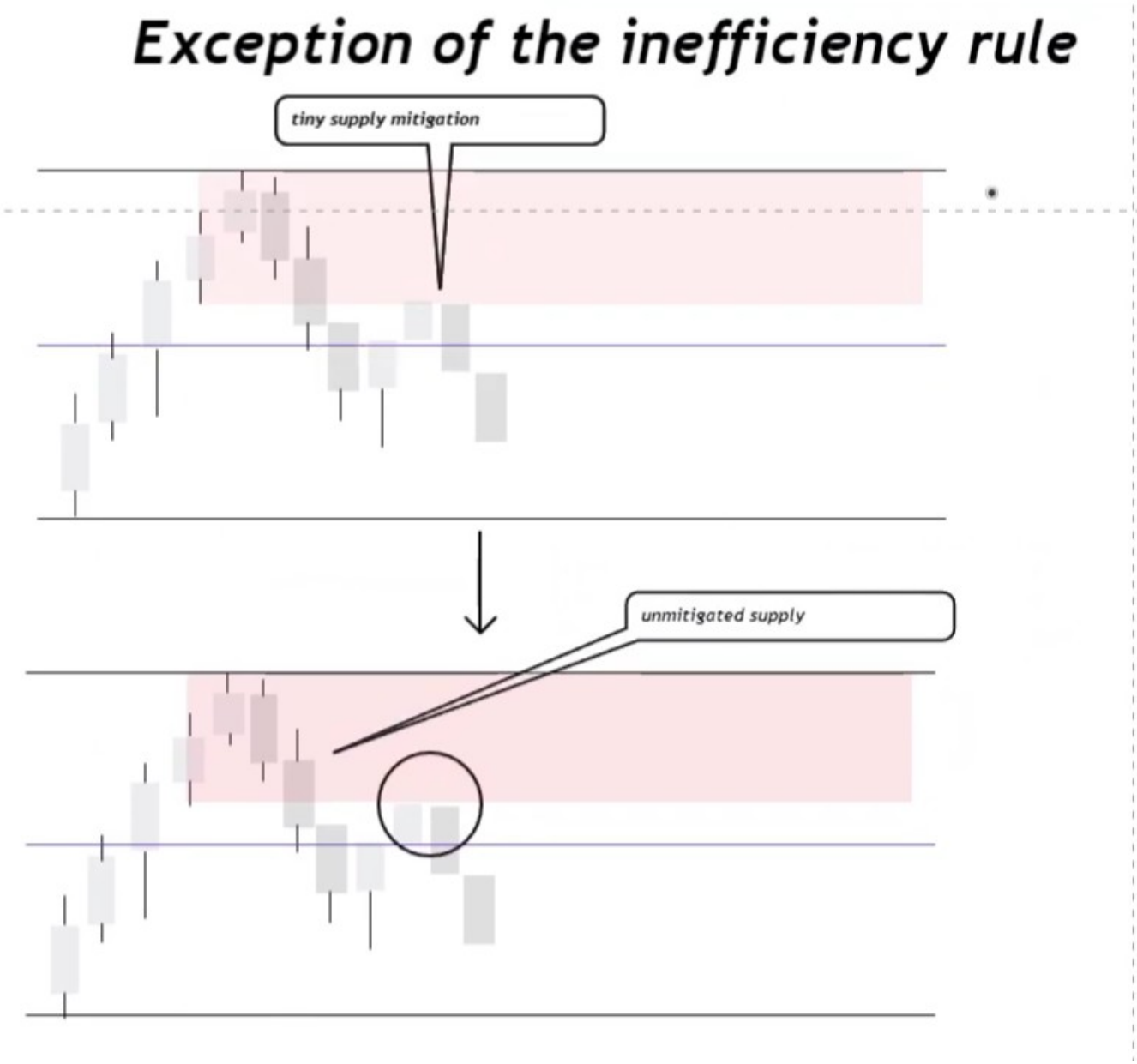
(08:40) referring a bit to refine zones okay already referring a bit to refine zones because refined zones are used understanding our overlapping Market structure okay so I have taught you guys about the overlapping Market structure and that if we for example are trending down on the 4our we could have our red structure pointing up that's the only way to get from point A to point B right and that could be like the 30 minute structure well now that you know that we have structure Supply and Order blocks let's say that the inefficiency is



(09:17) applied in both scenarios okay so this whole range supply has an inefficiency below so it is valid we can have a more refined area using structure Supply when drawing our structure on the lower time frames okay so following our black market structure drawing that has a low lower high and a lower low this entire thing is range Supply because we have an inefficiency while leaving the supply Zone okay and if we follow our red structure we could have a high higher low higher high and then a break and then this entire pull up before moving down can
(09:56) also be your structure Supply but it would be a more refined area okay just more refined but we can watch both you can put them both on the chart because we're not trading the reaction of the order block we're watching for confirmations in the order block which will be TCT schematics now and the exact same way or the exact same thing applies for Demand right we can have an uptrend where this entire this entire structure break with the high and the low right here this entire thing thing is demand as long as it left the inefficiency above but we
(10:34) can have downward structure to get from point A to point B that could break back to bullish right here leaving an inefficiency and that could be our refined area and we can just put them both on the chart okay so we have order blocks right which is just one candle followed by an expansion away leaving a fur value Gap or we have structure Supply which are multiple candles and it can be multiple candles yeah it can be multiple candles and just and or just the entire structure pool right as long as you left that fair value Gap as you can see right

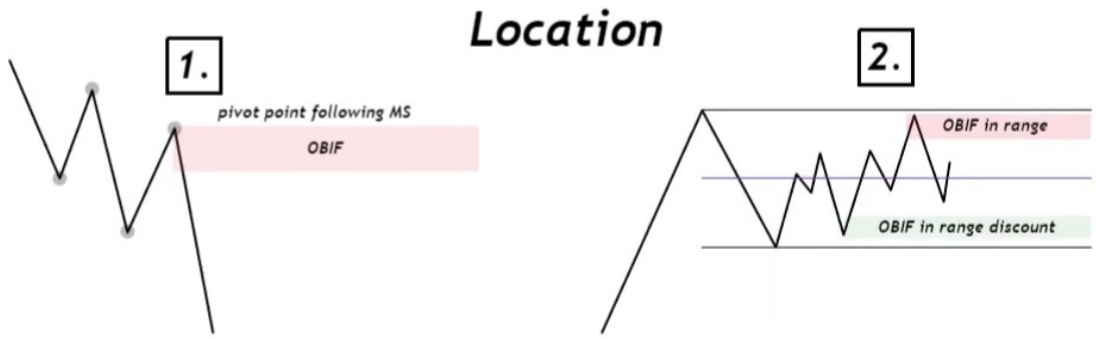


(11:13) here from this candle low and then that candle High they're not connecting making it a fair value Gap very important now there's one exception there is one exception of the inefficiency rule okay don't know why this is all the way up here let's say we are in a Range let's say we are in a Range okay it doesn't matter how this range was created this is just what the range is looking like locally let's say we're in the range and our only Supply Zone okay our only Supply zone is up here we can see these last two bullish candles before having



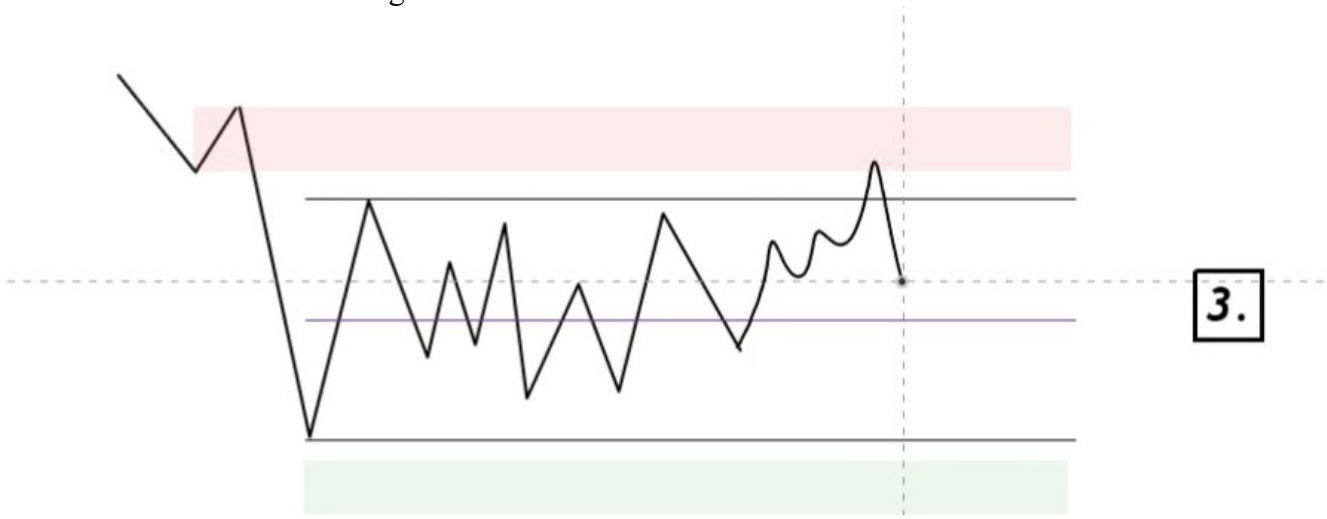
(11:54) the expansion away leaving that fair value Gap right here right leaving that fair value Gap making it a valid uh uh structure Supply okay if this got mitigated remember it's our only Supply Zone within the range and it got mitigated ever so slightly meaning price barely came into it but it did touch it and then we got the reaction away and it's our only Supply Zone what I'll do in that case is I'll I'll just draw my I'll I'll draw my structure Supply up a above that mitigation and I'll still call that unmitigated Supply but I'll only use

(12:36) this I'll only use this if there's no other Supply to look for close by okay and it was a tiny mitigation meaning we just tapped into it like we barely tapped into it but we technically did so only when you have Supply and the same goes for Demand right when it's the only Supply and the demand area nearby and it had a tiny tiny tiny mitigation I'll just draw it above or below that mitigation above for Supply below for demand okay that's the only exception of the fair value Gap rule of the inefficiency rule so it's important that you



(13:19) guys do not start to just randomly pull out order blocks on random points in the charts because context is always key and we've already learned how to build context using structure look where those higher lows are look where the markets are flowing and heading to um luk where there are ranges okay those have priority we look where we are on the chart we create our range we pull our range okay we look where the lower high for the lower low could be or the higher low for the higher high and then we start building more context by adding
(14:00) Supply zones you know maybe we could put the lower high in right there that we were already expecting by looking at our Market structure in the correct way or maybe we could we could have a range deviation in this demand Zone because we have a correct range and we can expect higher prices from here by drawing our Market structure and our ranges correctly so we already have the good buyas now we're just looking for those areas where price could move but don't just start randomly pulling out order blocks okay so we
(14:31) mainly have three locations okay we have three locations where one is very simple I call it our Pivot Point order blocks okay Pivot Point obif meaning we have lower highs and lower lows and in that pivot point of the lower high that's where we create our structure or that's where we create our order block okay very simple it's just we're already trending down we're expecting a lower high for a lower low and we right there in that pivot point we uh created some sort of order block very nice okay very good place to put an
(15:08) order Block in that pivot point because it just aligns with the structure okay it it aligns with the structure now the same goes for for for for bullish order blocks right when we're trending up the exact same thing applies we also can have order block and demand Supply or structure demand and structure Dem within a range okay we can also have it within a range and for our ranges okay we preferably want to look for order blocks bullish order blocks or bullish structure Demand right in the discount section of your range so we know we have
(15:52) the upper section of the range and the lower section of the range and we know that price can have multiple rotations from low to high low to high low to high Etc so we want to be looking for

demand areas in the lower section of the range to potentially take towards a rotation back up towards the high of the range and there we want to look for Supply areas to take back towards the low of the range okay so we can have order blocks in the discount section or order blocks in the premium section with within a range we
(16:30) can have order blocks uh in pivot Points following structure or once we're trading TCT schematics which you guys will learn uh very soon we can also watch for Supply above our Range High and demand below our range low for potential deviations so if you have a range you can always look for an order block or structure Supply above your Range High where price could deviate into okay or a order block below your range low or structure demand below your range low which price could also deviate into before coming back



(17:11) inside okay so these are the three main locations where you want to be looking for your supply and demand zones pivot Points on the chart Supply the upper section of the range demand in the lower section of the range Supply above your range and demand below your range okay those are the best places to look for snd D zones okay because they will align with having proper context and context is always key okay context is always key so let's apply it to the Chart right to visualize it let's apply it to the chart to
(17:58) visualize it so what we can see right here is I have a range on salana okay I have a range on salana we have our Range High we have our range low okay range high range low I just told you we can look for demand below our range low and for Supply above our Range High that's one well there isn't that much right here okay we can check oh I take it back guys so I take it back what we can do what we can do is we can put a horizontal line so we know where our Range High is and we go to the left I'm on the daily time frame right now where

(18:45) can we see a bearish order block right here why right here you see the last up candle before an expansion down leaving a fair value Gap there we go that's our daily Supply Zone very nice above our Range High definitely something that we need to watch out for coming into that Main Range High okay definitely something we need to watch out for you see that and you can get the you can leave the fair value g off I'm just showing you right but definitely an area to watch watch out for you see that last up candle before

(19:32) leaving or before having the expansion now leaving that inefficiency okay now let's look within the range okay let's look within the range because there's not that much here because we have this massive Wick mitigating anything here on the left now I'm checking do we have any significant areas of Supply in our upper section or demand in our lower section we know price was trending up that's our high that's our low and move back up to here confirms our range let's check for potential areas where we could reject

(20:06) from or your time frames guys we don't have to use fixed time frames we just scan through them I'm on the daily time frame right now what do we see what do we see right here we see a last up candle before an expansion towards the downside leaving that fair value Gap here here right here leaving that for Value Gap making this a daily order block with inefficiency look what happened when price tapped into it amazing reaction okay amazing reaction because you can clearly see that price is rotating from high to low from high to low and now

(20:50) we're kind of hovering around the low okay do we have demand in the lower section of the range where we could potentially have a bounce to take towards the range premium I'm just scanning I'm just flickering through my time frames guys I'm just flickering through my time frames I'm on the daily uh 18 hour maybe oh I'm seeing something here very dogey candle though 12h hour oh would you look at that that looks way better on the 12 you see that a bullish order block a demand Zone your last downwards candle before having an expansion towards the

(21:28) UPS side leaving an inefficiency it's always a three candle formation always a three candle formation okay we need one candle to confirm the bearish candle one candle to confirm the expansion the other candle to confirm the potential fair value Gap always a three candle three candle formation okay look what happened when price tapped into it we formed actually a model one accumulation schematic TCT model one and we went higher but that's for something for later to understand how to trade okay but this already shows you that I
(22:02) have this range confirmed right here and by understanding how to draw your supply properly and how to draw your demand properly you could have catched the rotation in here waiting for a confirmation and the rotation in here which were literally already the main moves of this entire macro range just by understanding how to draw a proper order block or structure Supply and structure demand okay now let's Zoom zoom in a bit more let's zoom in a bit more because right here from that reaction we were trending down very aggressively we

(22:39) were trending down pretty aggressively okay we had a low lower high lower low okay now using structure Supply can we draw this as our supply Zone boom let's get rid of this it's always less good okay when you have this Wick here because then you don't have the fair value Gap okay because the F value Gap is already mitigated but it is mitigated from the top down okay oh it is mitigated from the top down which is less bad so if there's nothing on the chart bes this Supply Zone I would use it and I would drag it a bit

(23:32) down okay because it's coming from top to bottom but for now we're not going to use it okay we're not going to use it but we're just going to continue keeping our structure pool so we have a lower high for a lower low right here okay now let's continue drawing lower high for a lower low but look at this look at this guys look at this right in that Pivot Point right in that Pivot Point right here we see these La we see this last bullish candle okay we see this last bullish candle before having a aggressive expansion

(24:16) towards the downside leaving a massive massive massive for Value Gap okay so this is definitely a very good area to look for a lower high for a lower low continuing the trend down okay because we're trending down and you have an order Block in that pivot point now understanding structure Supply you can use this entire range because also pulling it from this low to that high we still have that fair value Gap we still have the fair value Gap here and this is a perfect example of a supply area and a more refined Supply

(24:58) area we have a supply area using structure Supply and we have a more refined area using an order block with inefficiency in that pivot point we're trending down so we're already expecting a lower high for a lower low right and that was the perfect place where price put in that lower high for the lower low okay but guess what guys guess what coming into that Pivot Point into that lower high for the lower low we created again and a other another order block with inefficiency why right here we see this last upwards candle

(25:37) before the expansion down leaving a fair value Gap here so it's a good order block it doesn't matter that this Wick is higher it means it just grabbed extra liquidity which is totally fine it mitigated that Supply Zone okay it doesn't matter if this Wick is higher we just pull it towards the wick High doesn't matter if it's candles one Wick high or candles two Wick High and look what happened from there we got the retracement did not yet come back to that low and then got to move up okay so now we can continue drawing our

(26:08) structure there you go but but but continuing drawing our structure structure Supply we have yet again another Supply Zone we have a lower high for a lower low that left here A F value Gap see that inefficiency see from that low to that candle fair value Gap making this valid Supply look what happened when price later on came back into it right look what happened when price later on came back into it not only that we can make a more refined Zone we can make a more refined Zone because right here we can see those last upwards candles right

(26:53) we can see this last upwards move before coming down also leaving an inefficiency here from that perspective making this a more refined area but we can make it even a more refined area because in that Pivot Point guys in that Pivot Point right from this other structure pool overlapping our structure now we have an order block the last upwards candle before having an aggressive expansion down also leaving inefficiency so this way you have Supply and supply and supply and it doesn't really matter you can just watch the

(27:32) entire biggest Supply Zone because we're waiting for confirmations either way but it's funny to see that price really left no Supply untapped because it came for the most refined area right it came for the most refined area which was that order block and it's actually funny because you can already see a bit of a supply chain here and you may ask what is a supply chain is when an order block creates another order block that creates another order block so you can see right here that this 2hour order block created

(28:00) that 2-hour order block put like this this 2-hour order block created that 2hour order block that created that to our order block there a little supply chain that's going on very nice to see and a little tip and trick that I wasn't planning on on on telling but it just came to mind now is that whenever you have your first order block creating your second order block okay the reaction from that second order block always tends to be very good meaning this third tab that that's the reaction from the second one that

(28:30) tends to be really good okay it tends to be really good when you have an order block that create another order block so the second order blocks reaction is typically very strong when it looks this clean on a two-hour and just two order blocks very nice okay very very very nice now from there okay let's zoom out again because we had a very aggressive move towards the downside and then we had to move back up again okay now I'm immediately checking I'm I'm zooming back out do I have demand in the lower section of this bigger range okay I'm

(29:03) just scanning through my time frames guys I'm just scanning through my time frames 18 hour nothing 12 hour nothing 8 Hour nothing 6 hour oh look at the 6 hour guys when we swept that low when we swept that low we can see this bearish candle that uh what followed was a bullish expansion towards the upside and expansion towards the upside leaving a fair value G boom making this a valid 6-hour order block look what happened when price later on came back into it we got that move up right we got that move up now let's check this entire move towards the

(29:43) upside more okay I can see on the 3 hour right here that we have some sort of bullish uh bullish order block again last downwards candle before the expansion up leaving a fair value Gap right here leaving that fair value Gap so this is a bullish order block did that do something it cost a tiny reaction it cost a tiny reaction but we still ended up going lower okay no TCT schematic confirmed here understanding the bigger context we knew that this was more important when trading tcts which you guys will understand later on

(30:24) okay um and then let I'm just flickering through the time frames right I'm just scanning where where do I see potential order block oh look at that look at that on the 2H hour when I'm following my structure from the low up on the 2 hour I have a low I have a high I have a higher low and I have a higher high in that Pivot Point again guys in that pivot point you can see this bearish candle and what follow was an expansion towards the upside leaving a massive fair value Gap massive fair value Gap Okay order block with an inefficiency

(30:53) making it a good order block look what happened price came deep into it but we did get that bounce okay therefore another thing I want to tell you is that sometimes we Wick the order block sometimes you Wick the order block doesn't usually happen but it is possible that sometimes we Wick it that's fine it just means we took liquidity from that point and liquidity is actually going to be the um next lecture okay it's going to be the next lecture so don't ask what's liquidity it will be explained in lecture four

(31:26) okay so we're kind of already getting a feeling of hey I'm just flickering through the time frames I see structure Supply I see structure demand let's look more locally okay let's look more locally right here we had a range okay right here we had a range let's go a bit more back in time there we go we had this range okay we had our range low and we had that deviation tapping into that 6-h hour order block we were just talking about again guys again when price is right here okay imagine price being right there I'm

(32:02) checking do I have Supply zones in the upper section of the range and do I have demand zones in the lower section of the range that's always what I'm checking that's always what I'm checking okay because preferably we want to look for a short confirmation in the upper section and a long confirmation in the lower section right so I'm just scanning let's see on what time frame the range is valid on we have a 12-hour range let's just flicker through the time frames to see where we see a potential order block or structure Supply or structure demand

(32:31) most of the time you'll see structure supply and demand in on the lower time frames and not particularly the higher times when training a range like this but um yeah what do we see I see some sort of an order block here but let's see in a lower time frame if there are something better because this doesn't look the best because you have this low you have this High it is valid it is valid but let's see if we can get something more refined um flicker more and more oh look at that I'm pulling my structure from top to bottom within the range I told

(33:01) you guys always watch for just the most recent rotation within the range look in that pivot point we found a 1hour order block this last bullish candle that closed very very tiny um before having an expansion towards the upside leaving a massive F value Gap okay so that's definitely an order block look what happened when price came back into it okay we got a nice reaction and we got actually a range formation now looking at the lower section do we have some demand before price you know uh if price uh rotates back down for a

(33:36) potential rotation back up again let's start on the higher time frame I'm just scanning I'm flickering through the time frames I see a three-hour order block but that's already mitigated right that's already mitigated on this candle right here so that's useless going on the 2hour it's also a 2hour order block but that's already mitigated as you can see right here and after a mitigation guys after a negation and an expansion away from it we don't use the block anymore very very important to clarify the moment we get you know a mitigation
(34:07) of our order block within move away we do not use it anymore okay we don't use it anymore but we can look for more refined areas like we just discussed and those could be still unmitigated so I'm going on a 1 hour oh which you look at that on the 1 hour we actually have this little zone right here and that wasn't mitigated on that point pullback so we still have some unmitigated Demand right here let's flick around more on the lower time frames oh would you look at that guys we have a 45 minute order block hiding down there maybe even lower
(34:39) 30 look at that I'm drawing my structure from the low up high higher low higher high right in that pivot point we have that 30 minute order block so you can call this an order block with an inefficiency and you call and you can call the two candle pullback structure demand following your structure right with a more refined approach and look what price did it ended up coming back for that lowest part right really leaving no Demand on mitigated right here boom and look what happened once price came into it we got

(35:11) a beautiful expansion towards the upside but where did price reject let's see did we have a supply Zone in that upper section oh would you look at that look at that one hour bullish candle that caused an expansion towards the downside leaving a fair value Gap right here price came back into it boom rotation back down rotation back down so see how I am uh looking at Supply and Order blocks in the upper section of the range demand in the lower section of the range locally and I'm doing the exact same looking on a more macro skill with

(35:52) Supply in the upper section of the range and demand in the lower section of the range while also when we're trending down okay and I'm trying to catch maybe a continuation trade using TCT Concepts I'm I'm checking my structure and I'm looking for those Pivot Point Supply zones right either an order block or structure Supply it doesn't matter okay it doesn't matter and I know we were trending down very aggressively here so after a very aggressive expansion towards the upside where could we potentially reject right here for a

(36:19) potential range I told you guys after a very aggressive expansion towards the upside we tend to form some sort of a range which you can see right here well maybe that Range High starts in that goodlook Supply Zone because it was the only Supply Zone this entire move down cuz this was just liquidity which is something we'll go into in lecture four okay so in my opinion it's not that um it's not that difficult you really just have to look and flicker through your time frames on what time frame you potentially have an order block and it

(36:56) is always better to have an order block on a higher time frame that's also unmitigated on the lower time frames okay it's not a requirement you can see right here that this was a daily order block right this was a daily order block with an inefficiency but if I zoom in on the 3-h hour it was already mitigated right on the 3H hour you already had that mitigation here but you do not see that on the daily time frame now if you have a higher time frame block that's also unmitigated on the lower time frame that's even better okay but but it's

(37:28) still valid to use that daily order block and you can clearly see that it worked like magic okay this is this is one of the reasons why I called that short you know it's on my X profile you can search it up I called a short from here literally we short it right there boom why TCT model one concept one two three I can't wait to teach you guys it I can't wait I can't wait okay we're almost there we just need to lay this Foundation we have Mark structure we have ranges now we also have the pois the supply and demand areas either in the form of an

(38:04) order block or structure demand or structure Supply so tying it back right tying it back to the last video where I was talking about why I was expecting a bounce and why was it so good look well if I put on the EQ of this range you can see oh now that you know how to pull your demand Zone we can clearly see that right here if I let so go in the 4 Hour which you look at that we had these downwards candles that cause an expansion towards the upside leaving an inefficiency right here from the high you pull your range demand from that

(38:46) first candle boom very amazing inefficiency right and it was in the lower section of your range question for you guys exam question question is there another structure demand within the lower section of this range that we can draw I want you to look closely look in this move up look in this move up is there structure demand that we can draw right here guys right here okay right here we can see structure demand why we can see these two downwards candles multiple downwards candles leaving an expansion towards the upside giving us an

(39:31) expansion towards the upside leaving that fair value Gap okay for that fair value Gap okay but yeah this was also a POI so we had two areas of interest if price came in here maybe we could catch along for a rotation back up right and therefore I was expecting a potential bounce or a range formation in that area and let's look even closer in the range itself let's delete the EQ of the bigger range otherwise it gets messy okay we knew we had that TCT molu accumulation which will all be explained later but where did we Bounce from did we reject

(40:13) from something special I'm just flickering through the time frames it's around a 4 Hour range I'm on the 2 hour now do we have something no on the 1 hour do we have anything significant not really 45 oh look at that guys look at that we had a 45 minute order block here it almost got mitigated it almost got mitigated here if this Wick was a bit higher this was not a order block okay because you didn't have an inefficiency but right here you still had that little inefficiency and that's enough you just need one you don't need a big one you

(40:47) just need an inefficiency okay and that's where we rejected that's where we rejected right absolutely beautiful do we have a local demand area oh in this move up right I'm just following structure now in this move up we had a high higher low higher high around that lower area of the higher low I see a 1 hour order block look at that I see a 1our order block where you have this last downwards candle before the expansion away leaving right here that tiny tiny fair value Gap very tiny but it is one guys it is one

(41:25) very tiny but it is one so we were rejected from the only Supply in the upper section of the range cuz you know scanning through my time frames I don't see Supply somewhere else but that area and look at that if I go on the 30 minute we can actually see that there was a better Supply Z on the 30 a more refined one higher up and price actually ended up coming for that was there maybe even a 15minute one where price ended up wicking into no not really so the moment our range is is confirmed already right here right that's when our

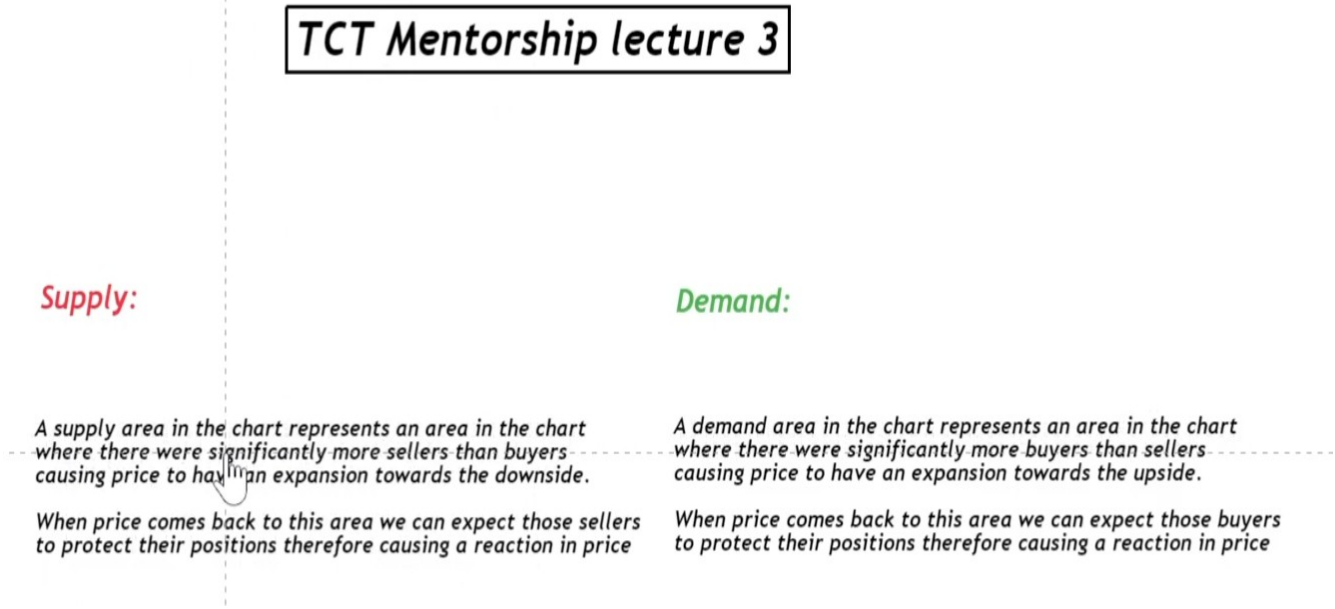
(42:00) range is confirmed now we have a move up okay we have a move up and we know we can expect a reaction in here because it's the only Supply remaining before coming to that Range High which are always the best ones it's called Extreme Supply okay extreme Supply AKA your last Supply remaining before coming to your Range High loves to give reactions so that's also where we created that range and it's beautiful because now you can expect some sort of potential range formation to be created after coming into that area right now where was our

(42:39) range low created in that uh in that 1 hour order block so you see how you can with the amazing context you can kind of already expect where that range is going to take place and then from there we had that Wick obviously we had that distribution first we had that accumulation went over into distribution went over into a bigger accumulation but did we Bounce from something here was there some demand in the lower section of the bigger range I'm on the two hour nothing special oh which you look at the three guys last expansion down sweeping your

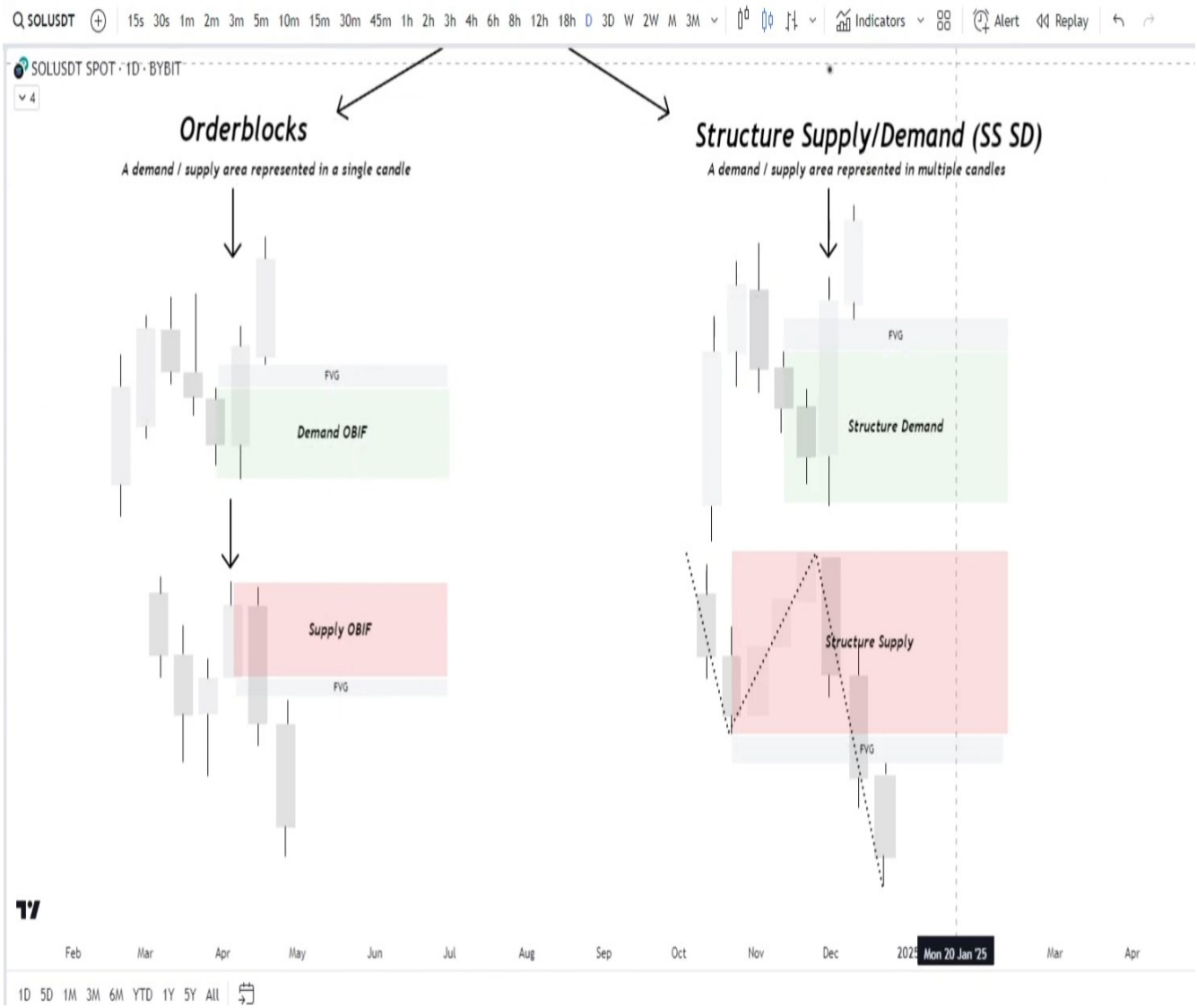
(43:12) range low bullish expansion away leaving a fair value Gap and that's also going to be requirement for trading TCT schematics that again guys I can't wait for us to reach that point in the mentorship okay I'm also making this in a structured fashion but do you see how crucial it is that I was expecting this range formation to potentially create itself because we tapped into a high time frame area of structure demand and then I expected this range to be created between that point and that point because those were our only Supply and

(43:51) our only demand points and then if you understand TCT schematics you know that we can expect the balce right here of this order block because that's extreme demand okay and extreme Supply and extreme demand will also be more explained in the TCT Concepts tutorial hope you guys understand order blocks more now so we have an order block we have structure Supply let's recap it like we always do let's recap it like we always do we have supply and demand an area that represents or a supply area on the chart represents an area on the chart where

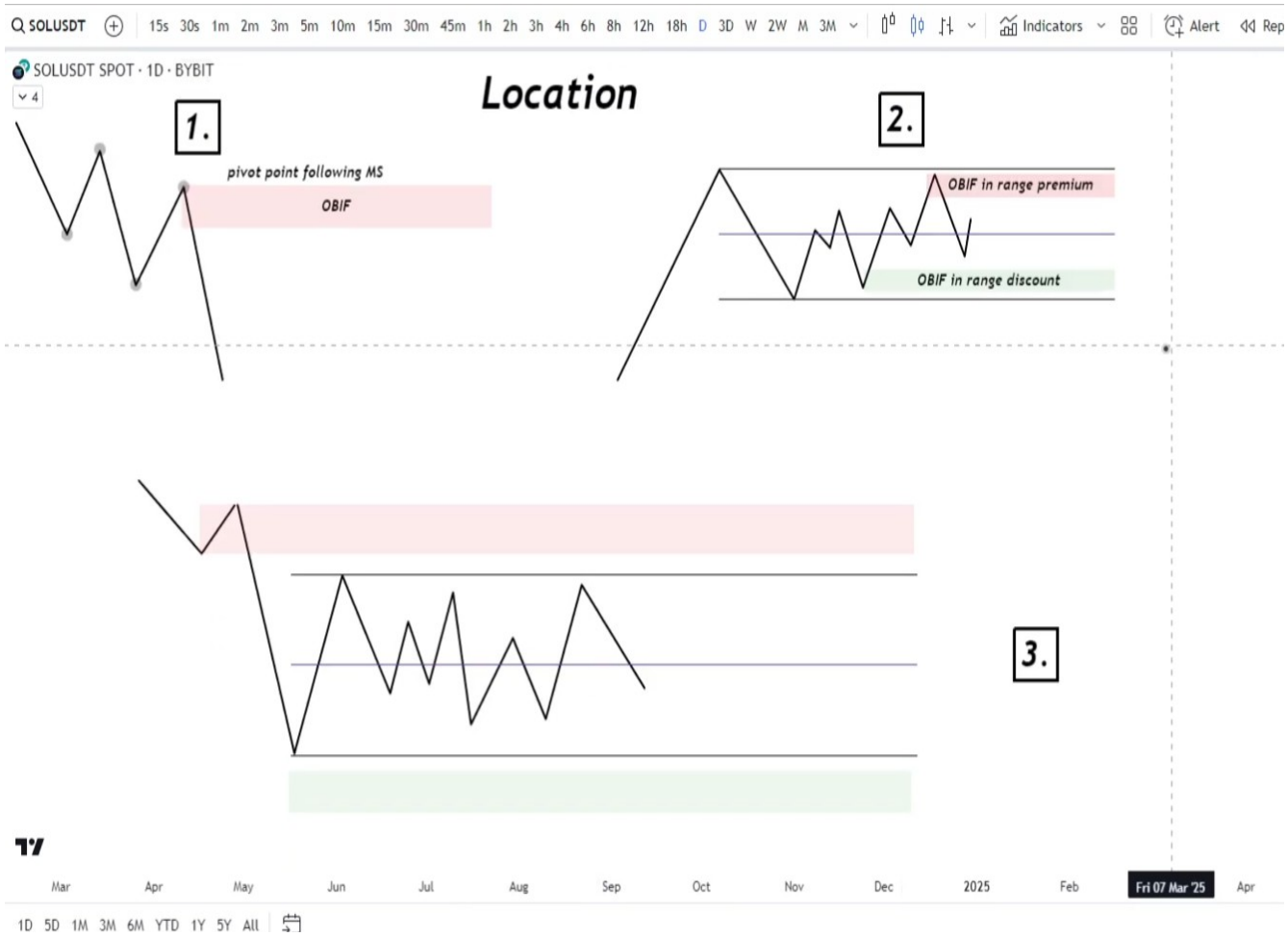
(44:40) there were significantly more sellers than buyers causing price have an expansion towards the downside and when we come back to that we can expect a reaction same for demand an area on the chart representing um an area where buyers uh were very more significantly active than sellers caus an expansion towards the upside side and when price comes back to this area we can expect those buyers to step in predicting their positions we had a order block which has to have an inefficiency that's why it's called obif and we have structure Supply and



(45:09) structure demand which are just multiple candles and an order block is one we have refine zones using overlapping structure okay but we just have to watch where price comes because we watch for confirmations either way if that's in the bigger range or in the refin area that doesn't matter an exception is if there's only one Supply Zone remaining okay and we mitigated it ever so slightly I'll still use it I'll just draw it up okay I'll draw it above that mitigation and then you want to look like we just discussed



(45:42) in the examples you want to look for order blocks in pivot Points or Supply in the upper section of the range and demand in the lower section of the range or Supply above your range and demand below your range for deviations so that's for me guys hope you guys understand order blocks now very simple just one candle with an inefficiency or structure Supply and structure demand multiple candles with an inefficiency always using that inefficiency and I'll see you guys in lecture 4 where we're going to be talking about



(46:17) liquidity peace out